

FINALS REVIEW — Evaluate marketing strategy of one brand

Guideline: Segmentation strategy STP: Segmentation (separate customers into segments), Target (select target segment, targeting strategy), Positioning (brand positioning, why product unique), 4P tactics: Product (evaluate based on customer needs/characteristics), Price (perception, setting, strategy, justification), Place/ Distribution (channel that fits brand), Promotion/Communication (market position, target audience, product attributes, competitive landscape, key consumer behaviors/ preference, pricing/distribution/promotional strategy, strategic challenges & opportunities).

Segmentation bases

Demographics – practical attributes: age, gender, income, marital status, ethnic background – who they are.

Psychographics – personality & attitudes: activities, attitudes, personality, values – how they live their life.

Behavioral – how product is used, used for what: benefits, usage rate, patterns – how they use products.

Geographics – areas where customers live, size of customer segment – where they are

STP = Segmentation, Targeting, Positioning. 4P = Product, Price, Place, Promotion.

Customer segments

After segmentation, figure out behavioral factors of each segment to determine what they want. Evaluating market segment: local, national, international, regional (where they are).

Market attractiveness factors

Customer needs and behavior: Are there unmet/underserved needs we can satisfy? Market/segment size, growth rate; market potential in units, revenue, number of potential customers; growth rate.

Macro environment (favorable?): external factors – sociocultural, economic, political, technological, environmental.

Competitive-position factors: opportunity for competitive advantage, can we differentiate? stage of competing product in product life cycle; firm/competitor capabilities & resources; management strength; financial resources; brand image; relative market share; attractiveness of industry; threat of new entrants/substitutes, buyer power, supplier power.

We evaluate these factors based on segments.

Questions: Is there a pain point we can solve? Is market potential strong enough (worth it)? Do external factors help or hinder? If we get in, can we be unique? Is our firm strong enough (resources) to compete? Is our brand image strong enough? What is our market share?

Select target segment

Mass marketing / Differentiated marketing / Niche marketing.

Is the industry worth it? Does it make money? Entry fees, cost & size of industry, growth, profit margin, competition, strategy to enter, resource needed, capability (expertise, capable of entering – are we good enough?).

Undifferentiated (mass) – For: convenience, economy of scale. Against: inefficient, expensive promotional cost trying to reach everyone, ineffective, harder to satisfy everyone (can't be all things to all people).

Differentiated (various segments at once) – For: remain competitive, various offerings to various segments = good customer satisfaction, response to change in market (product in changed segment, not entire company). Against: high cost for specialized production.

Concentrated/Niche – For: small firm limited resource can focus one segment; small market = less competitors; niche customers stay loyal, willing to pay more (served well); strong market position & reputation. Against: slow growth, low barrier to entry, brand image stuck to that segment (limits marketing potential).

Micromarketing (local, individual) – For: market effectively regional/local, build relationship with customer, support technology available for specific targets. Against: loose economy of scale, vague brand image (too many areas, too different). Factors influencing target segment coverage: company resources, product variability, market variability, product life cycle, competitor's strategy.

Differentiation attributes / Positioning map

Identify two important attributes that make our brand stand out vs competitor.

Positioning for each target segment. Product differentiation doesn't last long (can be copied, e.g. Pepsi & Coke).

Position can be based on: products, services, personnel (employees – good talking, smart, responsive), channel (coverage, performance, access location), image.

Position = brand image that makes us stand out: "perception, impression, and feelings" – attributes.

Positioning statement / Total offer

Product can offer many benefits but there are levels to it. Communicate "benefits" not features. Product characteristics influence adoption rate (when will people adopt?) via product life cycle.

Elements: benefit; price/quality; competition; use/application; product/user; product class.

Explain product with key features – solve customer's problem – deliver specific benefit – why buy from me? (Product, solution, benefits, why us?)

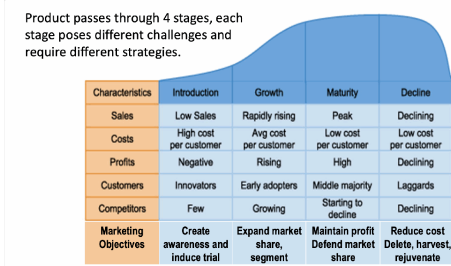
Core benefit = core of product. **Expected attributes** = good things that indirectly come with it. **Add-on attribute** = people don't care but good to have.

Example attributes: MacNeo – light, good battery life, small. Message: "Say goodbye to heavy bag, work anywhere you want, fit in any bag. Anywhere, anywhen, however you want."

Relative advantage: far better than existing tech. **Observability:** demonstration, YouTube how-to-use. **Compatibility:** integrated with legacy system. **Complexity:** hard to understand/use? **Trial availability:** self-explanatory.

Product life cycle (4 stages)

Product passes through 4 stages, each poses different challenges/strategies.



ok → has potential → peak sales → gone

Extending product life cycle

Market modification: increase frequency of use (lower product performance?); increase target segment (target other people) or increase size of segment; finding new user.

Product modification: alter characteristics, new model.

Reposition product (change image), rebrand (change name/logo).

Price perception

Value = perceived benefit – perceived cost. Is it even worth it?

Effective price setting = understanding how much customer values our product and setting the right price.

Price vs reference price: past price; cost (raw materials, advertisement, rent); purchase context (distribution).

Factors affecting price decision

Select approximate price level using **3C method**: customer, competition, cost.

Internal: marketing objective (what do we want – luxury or pull-rope), market share/ volume/profit/prestige, marketing strategy (STP, mk mix), production cost, organizational factor.

External: consumer (customer's value, market size, price sensitivity), competition (competitor's pricing), economic & regulatory factor/law.

Customer: perception of value, price ceiling (no demand above this price). Competitor: set price based on competitors' strategies, costs, prices, market offerings. Cost: production cost, no price below this.

Select an approximate price level using 3C methods



w product pricing

market skimming price

- high price
- profit oriented
- image, quality, inelastic demand, little or no competition
- มีต้นทุนที่ต่ำ Ysev

market-penetration pricing

- low price

New product pricing

Market skimming price: high price, profit oriented, image/quality, inelastic demand, little/no competition. (มีต้นทุนที่ต่ำ Ysev)

Market-penetration pricing: low price, market share, economy of scale, elastic demand, high competition. (ไม่ต้องการกำไร local ice cream)

Product mix pricing

Pricing/selling multiple products related to each other to maximize profit. E.g. "macbook and hub".

Price adjustment strategy

Discount and allowance. **Segmented pricing** – different customers, locations, products. **Psychological pricing** – 99.99. **Promotional pricing** – temporary reduce price for sell surge. **Geographical pricing** – price change based on location.

Dynamic pricing – change price to satisfy characteristics/needs of individual customers based on situations. **International pricing** – adjusting prices based on international market.

Distribution channel functions

Identify major channel alternatives: distribution advantages/disadvantages.

Transactional function: help buy wholesale, resell, take risk of stock stuck, moving money customer – firm.

Logistical function: Assorting (find products from many sources to serve customer); Storing; Sorting (purchase large quantity, break into smaller amounts); Transport (physically move products to customer).

Facilitating function: Financing (UFund); Grading (inspect/test/assign products by quality); Marketing information (info to customers & supplier incl. competitive condition/trends).

Number of levels: direct vs indirect channel (short, long); dual/multi distribution.

Types of intermediaries: wholesaler (outlet, merchant, agent), retailer (store, sales force, online/mobile/machines). Number of intermediaries (intensity per level): Intensive / Exclusive / Selective distribution.

Direct vs indirect channel

Direct – Pros: high quality contact, control marketing mix (price/promotion/service/ quality). Cons: smaller coverage, longer time to penetrate, fixed cost, limited solution.

Indirect – Pros: levels of intermediary, large coverage, quick penetration time, utilize channel's expertise/resources/knowledge. Cons: high cost, smaller margin, hard to control channel, reliant on channels.

When to use which channel?

Direct: identifiable customer; product requires extensive demonstration; wide variety of offerings for target market; sufficient resources available; intermediaries not available/capable.

Indirect: large no. of customers; hard to reach customers; product serves market in different areas; product used heavily/frequently; insufficient resources; intermediaries perform more efficiently/cheaply.

Channel levels

1-level: Firm – retail – consumer. Durable goods, electronics, insurance. Pros: manufacturers cover wide area while retaining control.

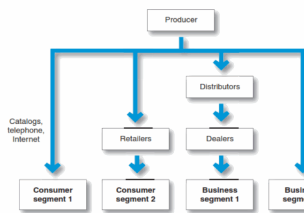
2-level: Firm – wholesale – retail – consumer. FMCG; markets spread large area; works best if retailers independent from each other; small individual purchase value; high frequency of purchase.

3-level: Firm – agent – wholesaler – retailer – consumer. Sold by large company; wholesalers scattered across country; FMCG, garment, durable industry.

Dual distribution & multi-channel

Dual = direct + indirect. Multi = use various channels simultaneously to reach firm's target market. Objectives: maximize firm's coverage in marketplace; increase cost-effectiveness of marketing effort. Occasion: multi-brand; geographical factor; large & small retailer; customers in different segment. Consideration: the channel provides incremental sales compared to existing sales.

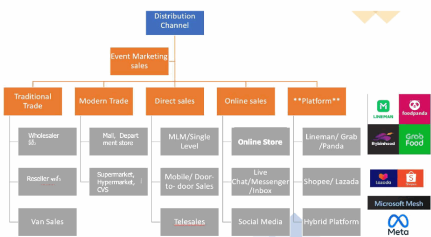
Multiple channels serve multiple segments



Multi-channel: advantages/disadvantages

Pros: reach more/diverse customers; tailor offerings to specific needs of diverse segment; the more channels, the more loyal customers. Cons: hard to manage/control (price, quality, promotion); compete among channels (potential conflict) – e.g. Dell stuck between retailers & sales reps. Important to integrate channels → consistent, seamless experience across channels = Omni-channel.

Types of distribution channels



Different types of retail stores

Shopping mall. Department store (sell goods, e.g. Central). Supermarket (sell food). Hypermarket (combo supermarket+department store). Convenience store. Specialty store (sells certain product type – Boots, Watsons, IKEA, HomePro). Warehouse store (wholesale, sell in bulk – Makro, Costco). Community mall (tied to local area, locals hang out). Pop-up store (small stores at events to attract people to main store).

Distribution intensity

Distribution Intensity

Intensity Level	No. of Intermediaries	Objective	Types of product	No. of customer
Intensive	Many	Achieve mass market selling.	Convenience goods	Many and dispersed. Convenience shopping
Selective	Some	Achieve broad coverage and medium sale	Shopping and some specialty goods	Several. Medium effort. Brand focus
Exclusive	One, a few	Build the image and brand loyalty	Specialty goods and industrial equipment	Fewer. High involvement and loyalty

Selecting marketing channels

Selecting MK Channel

	Characteristics of Short Channels	Characteristics of Long Channels
Market Factors	Business users Geographically concentrated Extensive technical knowledge and regular servicing required Large orders	Consumers Geographically dispersed Little technical knowledge and regular servicing not required Small orders
Product Factors	Perishable Complex Expensive	Durable Standardized Inexpensive
Organizational Factors	Manufacturer has adequate resources to perform channel functions Broad product line Channel control important	Manufacturer lacks adequate resources to perform channel functions Limited product line Channel control not important

Communication channel: objectives

Increase brand awareness; enhance brand image/interest; stimulate purchase/repurchase/referral. Objectives set to move buyers through adoption process: Information: awareness, interest → attention. Persuading: evaluation, trial → desire. Reminding: decision, confirmation → action.

Target audience

Primary audience: group we want to reach. Secondary audience: may not be interested in product but can influence primary audience. Target audience affects what will be said, how, when, where it will be said, and who will say it.

Designing a message

Need a clear, impactful "big idea" message, memorable. Message has to be: creative, big, memorable, differentiated to stand out/generate attention. Big idea has 3 elements: insight about problem/motivation; brand connection; key message.



Uncover an insight

Research target audience & product category to find truth about: customer's pain point; motivation forces behind one's thoughts/behaviors. Example: electric razor is less masculine.

Find brand connection / articulate idea

Examples: Diet Coke is for woman; high school students wearing makeup as a form of investment. "When you are hungry, it's hard to concentrate and hard to focus on what matters. You don't perform to the level you normally do because there's something missing" – insight (the thought behind it, deep) enables a brand to come up with solutions/products to challenge consumer's pain point. List unique features/benefits relevant to insight that competitors cannot imitate. E.g. Snickers: "the perfect way to get back to being yourself. Packed full of peanuts, caramel, nougat, and milk chocolate. Snickers satisfies your hunger - all in a quick and easy-to-carry snack." Call-to-action needs a hook (one sentence) to grab attention: "You're not you when you're hungry." "There is a reason why Johnnie Walks, don't drink and drive." To get story to target audience: figure out how to get them to interact with you – touchpoint (where/when/how story shared); how to share message with maximum exposure?

Step 4: Communication channel

Personal / Direct communication: face to face/Skype, phone, mail/e-mail/Line, web board/social media. Channels: direct control (salesperson). Nonpersonal: Paid (advertisements, boosted posts, sponsored content, social media ads, digital advertising) / Earned (media relations, influencer relations, blogger relations, word of mouth, link building) / Shared – overlapping Paid-Earned-Shared.

Step 4: Communication channel



Communication mix (IMC tools blend)

Wheel: Advertising, Sales Promotion, Public Relations, Personal Selling, Direct Marketing/ Direct marketing – maintain image & educate consumers, reach the masses, stimulate purchase, build relationships.

Step 4: Communication mix: A specific blend of marketing communication tools



Table – Advertising: print/broadcast ads; outdoor/in-store ad; product placement/guerrilla; online ad. Sales Promotion: contests/games/lotteries; sampling/premiums/gifts; fairs/trade shows; discount/allowance. Public Relations: publication identity; community program; publicity; event/sponsorship. Personal Selling: sales presentation; sales meetings; incentive programs; samples. Direct Marketing: catalogs/mailings; telemarketing/TV direct; kiosks; online/mobile.

5A and Touchpoints

Stage	Characteristics	Touchpoints
Aware	- Introduce the brand to potential customers - Focus on visibility and reach - Goal: Capture attention - Build interest and connection	- Traditional ads, Digital ads, PR
Appeal	- Engage emotions or logic - Goal: Generate curiosity and preference - Customers seek more information - Build trust and answer questions - Goal: Equip customers to make informed decisions	- Branded Content, Influencer Marketing, PR
Ask	- Drive conversions - Reduce friction during purchase - Goal: Encourage action with compelling offers - Satisfied customers share positive experiences - Focus on loyalty and word-of-mouth - Goal: Transform customers into brand ambassadors	- Digital (Websites, comparison sites, FAQs), Reviews, Interactive (Chatbots, live shopping, social media Q&A)
Act		- Sales Promotions, Direct Marketing, - Retargeting Ads, In-store
Advocate		- Loyalty Programs, UGC, Referral Programs, Community

Awareness tools

Objective	IMC Tools	Details
Create brand recognition	- Advertising: TV ads, radio ads, YouTube pre-rolls, digital display ads. - Social Media Marketing: Viral challenges, branded hashtags.	Broad reach to mass audiences; focuses on memorable slogans, visuals, and jingles. Encourages engagement through shareable content; hashtags like #ShotOniPhone create organic visibility.
Build visibility	- Public Relations (PR): Press releases, media coverage, influencer mentions.	Announce new products or campaigns to the press, leveraging influencers for earned media coverage.
Generate buzz	- Content Marketing: Blogs, infographics, brand storytelling.	Provides educational or entertaining content to attract potential customers; builds SEO visibility.
Drive discovery	- Search Engine Marketing (SEM): Paid search ads, SEO strategies.	Paid ads appear on search engines; SEO ensures the brand ranks high in organic search results.
Optimize visibility online	- Outdoor Advertising: Billboards, transit ads, posters.	Visually impactful in high-traffic areas, driving immediate attention.

Appeal tool

Objective	IMC Tools	Details
Create emotional connection	- PR: Positive media narratives about the brand or product. - Social Media Marketing: Engaging posts, storytelling campaigns, polls. - Influencer Marketing: Authentic reviews, endorsements, lifestyle integrations.	Stories or events covered by the media that resonate emotionally with the audience. Reliable or aspirational posts that connect to users' values or desires. Leverage influencers to demonstrate product benefits in real-life scenarios.
Spark interest	- Video Advertising: Emotional stories, reels, or short-form videos on YouTube/Instagram.	Use storytelling to show how the brand or product enhances life, focusing on benefits rather than features.
Inspire and resonate	- Experiential Marketing: Pop-up activations, events, and product demonstrations.	Hands-on or sensory experiences that help audiences connect with the brand.

Ask tools

Objective	IMC Tools	Details
Provide product details	- Content Marketing: Product guides, explainer videos, FAQ blogs. - Interactive Tools: AR/VR product demos, interactive websites.	Help consumers explore features, benefits, and uses of the product in depth.
Build trust and credibility	- Reviews and Testimonials: Peer reviews on platforms like Google or e-commerce sites.	Leverage authentic feedback from past buyers to reduce hesitation.
Address customer doubts	- Direct Marketing: Email or SMS with detailed product features or comparisons. - Webinars and Live Demos: Address concerns in real time.	Personalized communication that clarifies specific concerns or highlights benefits.
Help with informed decisions	- Comparison tool: SEO-optimized blogs, comparison pages/widgets.	Create content that ranks high in search results for research-based queries.
Engage in real-time Q&A	- Customer Support: AI chatbots, live chat support, interactive Q&A.	Directly address consumer questions through responsive platforms.

Act tools

Objective	IMC Tools	Details
Drive conversions	- Sales Promotion: Discounts, limited-time offers, free trials, gift-with-purchase.	Create urgency and incentivize purchases with tangible benefits.
Trigger immediate action	- Direct Marketing: Personalized email/SMS campaigns.	Highlight exclusive offers or discounts to encourage immediate response.
Re-engage potential buyers	- Social Media Retargeting Ads: Dynamic ads targeting cart abandoners.	Use personalized ads to remind users of products they viewed or abandoned in their cart.
Simplify transactions	- Checkout Optimization: Buy Now Pay Later (BNPL), quick checkout options.	Reduce friction during the purchase process with easy payment options.
Build loyalty incentives	- Loyalty Programs: Highlighting points earned or bonus rewards during purchases.	Encourage repeat purchases by offering rewards for every transaction.

Advocacy tools

Objective	IMC Tools	Details
Turn customers into fans	- User-Generated Content (UGC): Sharing posts or reviews with branded hashtags.	Encourage customers to showcase their experience with the product or service.
Create shareable experiences	- Social Media Marketing: Features like Spotify Wrapped or special celebrity posts.	Develop content that celebrates customers' engagement with the brand.

Dyson case: Event: 'Hair Rescue Station' with premium Dyson Supersonic hair dryers at 'Songkran Siam' event. Service: free hair drying + special deals. Marketing impact: 2,700+ people used service in 3 days; 2M+ online impressions; organic buzz Twitter/FB/IG/TikTok: 63,000+ retweets, 400 quotes on Twitter; 99% positive comments online; free media exposure via attendee reviews/shared stories. Follow-up campaign: 'Dyson Styling Pop-up in 5 Minutes' – mobile salon experience enabling trials of Dyson Supersonic.



Dyson – lesson

Market Position: despite being premium player in hair dryer market, Dyson faces challenge of high-priced flagship 'Dyson Supersonic' – intimidating to try in stores. Strategic Placement: booths at events like Songkran where people with wet hair are eager to try product. Marketing 5.0 Model: combines first four 5A stages (Aware, Appeal, Ask, Act) in one place, accelerating fifth stage (Advocate). Engagement creates organic buzz, turns customers into brand advocates. Lesson: identify business pain points hindering customer journey, strategically place product to encourage trials & organic advocacy.

Marketing Campaign

- To aid the communication planning process, marketing managers often use a campaign approach e.g. Just Do It, Get a Mac, Real Beauty, A Diamond is Forever.
- A campaign is a planned, coordinated series of marketing communication efforts built around a single theme or idea and designed to reach a particular goal (e.g. increase awareness, change attitudes or behavior).
 - The theme may take the form of a slogan e.g. Sharing a Coke.
 - The theme may refer to a stage in the product life cycle e.g. McDonald's All-Day Breakfast rollout.
- In a successfully operated campaign, all activities and tools will be well coordinated to build on one another and increase the overall impact. A single campaign may include:
 - Advertising: A series of ads posted on the Website, YouTube, Facebook, and other social media.
 - Public relations: A press release announcing something newsworthy in connection to the campaign (focus, objectives, and target segment(s)).
 - Direct marketing: Direct mail sent to target segments, reinforcing the messages from the ads.
 - Sales promotions: In-store display materials reflecting the same messages and design as the ads, emphasizing point-of-sale impact.
 - Personal selling: Preparation for customer sales representatives about the campaign to equip them to explain and demonstrate the product benefits stressed in advertising.

Marketing Campaign

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Measure and Outcome (BelVita example)

Measures – TV: number of audience actively watching TV at specific hours, rating on advertising. Social media: counting posts shared with hashtag #MorningWin; number of audience reached via Social Media's PPC and PPV (Pay per Click & Pay per View). Campaign awareness & sponsorship effectiveness measured via usage and attitude surveys. Outcome: BelVita's advertising campaign won up to 7% of brand awareness in 5 weeks of launch (The Guardian 2014). BelVita won 30% more followers on social media, collected 748M+ impressions (Ad Week 2014). BelVita's hashtag #MorningWin used 2,516 times by end of January 2014, receiving 5,172 favourites and 2,432 retweets within a month of launching (Bysani 2014).